

WELCOME BACK TO MONEY BASICS

Facilitated by:
[Facilitator 1 name]
[Facilitator 2 name]



Banking Basics

Workshop 4

PG. 59 IN STUDENT GUIDE

Welcome Back!

Updates & Sharing:

1. How did the money saving homework go?
2. What community resource did you find?
3. How are your budgets going?

Today's Agenda:

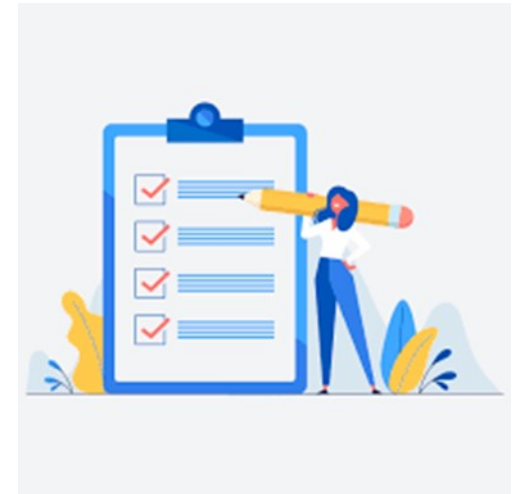
4. Learn about common banking terms and the different types of financial institutions.
5. Learn about common banking fees and how to avoid them.
6. How to open a bank account.
7. How to remedy a poor banking history.
8. Learn about the different types of checking accounts.
9. How to read and write a check.
10. How to balance a checkbook and why it's important.

Community Agreements

Learning Objectives

Upon conclusion of Workshop 4, participants will:

1. Have learned at least three new banking terms and their meanings
2. Understand the differences and pros and cons between different types of financial institutions
3. Understand the most common banking fees and identify practical ways to minimize or avoid them
4. Understand the steps to opening a checking account
5. Identify steps to remedy poor banking histories
6. Understand the differences and pros/cons to different types of checking accounts
7. Understand how to read and write checks
8. Understand how to balance a checkbook and the importance of doing so



Banking Terms & Financial Institutions

TERMS

Annual Percentage Rate (APR)

Finance Charge

Check Hold

Interest

Debit Card

Interest Rate

Delinquency

Overdraft

Federal Deposit Insurance Corporation (FDIC)

Service Charge

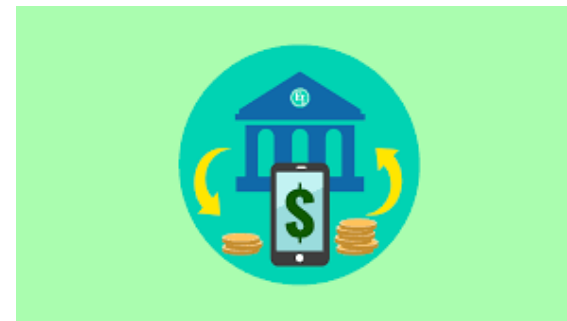
TYPES OF FINANCIAL INSTITUTIONS

Commercial banks

Savings and loans associations

Credit unions

Internet Banks



Common Banking Fees

1. Monthly maintenance/service fee
2. ATM fees
3. Overdraft fees
4. Insufficient funds fees
5. Stop payment fees
6. Early withdrawal fees
7. Early closing fees
8. Low balance checking account fees
9. Excessive transaction fees



The 7 Steps to Opening a Bank Account

1. Choose an institution
2. Go to their website or a branch of the bank or credit union
3. Pick the product you want
4. Provide your information
5. Agree to terms
6. Print, sign, and mail
7. Congratulate yourself!



What to do if You Have a Poor Banking History

How might a person end up with poor banking history?

- Cashing bad checks (or bouncing checks)
- Making late payments on a loan or mortgage
- Defaulting on a loan
- Having a bank foreclose on a mortgage
- Accruing overdraft fees (and not paying them off)
- Failing to pay bank fees

Options:

1. Try to remedy the situation.
 - Obtain copies of your credit and Chex Systems reports
 - Pay off debts
 - Open a savings account
2. Open a “second-chance” checking account
 - Limited services but can help you rebuild your banking historyand credit union options

ChexSystemsSM

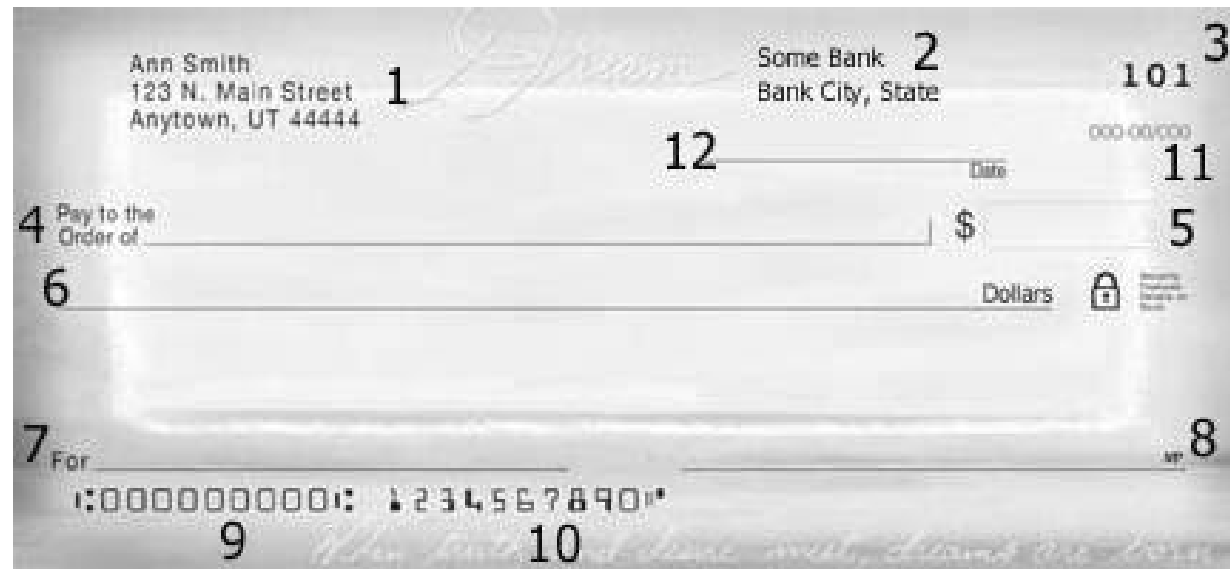
Checking Accounts

Different types of checking accounts:

1. Basic
2. Free
3. Interest-bearing
4. Joint-checking
5. Express
6. Lifeline
7. Senior/student checking
8. Money market



How to Read a Check



How to Write a Check

1025

DATE Choose a date

PAY TO THE ORDER OF Choose a name \$ Choose an amount (numbers)

Choose an amount (in words) DOLLARS

MEMO Choose a memo / reason Sign your check!

⑆000000000⑆ ⑆000000000⑆ 1025

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How to Balance a Checkbook

What you will need:

- Your most recent bank statement and/or cancelled checks
- A checkbook balancing form
- Your checkbook register
- A calculator and pencil

Step 1: Reconcile Your Checks.

Step 2: Reconcile Your Deposits.

Step 3: Reconcile Your ATM Withdrawals & Debit Card Purchases

Step 4: Record Interest Earned & Bank Fees.

Step 5: List Outstanding Checks.

Step 6: List Outstanding Deposits.

Step 7: Record Your Bank's Ending Balance.

Step 8: Enter Outstanding Deposits.

Step 9: Enter Outstanding Checks.

Step 10: Calculate Your Balance.

<https://www.youtube.com/watch?v=Aw2Wn7Wmp7c>

<https://www.youtube.com/watch?v=vXsavJrK9Ng>

Check Writing & Budgeting Game

CONGRATULATIONS!

You have just started a new job and your income is now exactly \$3,000.00 per month after taxes. You have deposited your first paycheck of \$3,000.00 into your checking account. With that money, you will need to choose three things to get you started:

1. **Home:** a place to live
2. **Transportation:** How you will get around, and to and from your job
3. **Wellness:** Something that you feel will help you to feel happy and well.

As you make your choices, you will need to write checks and balance your “checkbook” as you go along.

Checkbook Template:

NUMBER OR CODE	DATE	TRANSACTION DESCRIPTION	PAYMENT FEE, WITHDRAWAL		DEPOSIT, CREDIT		\$	

Instructions

Step 1: Pay your bills using practice checks

Make check payable to:	Amount:
Hot & Cold Power Company	\$57.93
Few Channels Cable Company	\$65.34
You Deserve Some Credit Company	\$60.00

Step 2: Go shopping for home, transportation, and wellness. Choose an option and write a check.

Housing Options

Option 1:

Bedroom in a shared house

- Rent: \$450/month
- Pros: Inexpensive
- Cons: Must share common space
- Pay to: Friendly Living Company



Option 2:

Shared two-bedroom apartment

- Rent: \$700/month
- Pros: Less expensive than living alone
- Cons: Must share common space with another person
- Pay to: Standard Property Company



Housing Options (continued)

Option 3:

Studio apartment

- Rent: \$850/month
- Pros: Close to downtown and work, walkable
- Cons: More expensive, not a lot of space
- Pay to: Dollhouse properties



Option 4:

One-bedroom apartment

- Rent: \$1100/month
- Pros: More personal space
- Cons: More expensive
- Pay to: American Property Management



Housing Options (continued)

Option 5:

Small home

- Mortgage: \$1150/month
- Pros: Over time, you will own the home
- Cons: Needs some repairs and updates; put all savings into down payment
- Pay to: Happy Homes Mortgage Company



Option 6:

Large suburban home

- Mortgage: \$1800/month
- Pros: Plenty of living space
- Cons: Long commute to work; put all savings into down payment
- Pay to: Megabank Home Loans



Transportation Options

Option 1:

Bus pass

- \$95/month
- Pros: Inexpensive; better for the environment
- Cons: Commute takes longer; limits where you can go
- Pay to: City Transportation



Option 2:

Basic used car

- \$1,800 one-time payment
- Pros: Inexpensive
- Con: Needs repairs and maintenance
- Pay to: Happy Auto



Transportation Options (continued)

Option 3:

Basic new car

- \$280/month five-year loan
- Pros: Reliable transportation
- Cons: More expensive, regular payments you need to make each month
- Pay to: Sam's New Cars



Option 4:

Leased luxury car

- \$650/month three-year lease
- Pros: Luxurious car you've always dreamed of
- Cons: Very expensive; long-term loan
- Pay to: Fast & Fun Auto



Wellness Options

Option 1:

Community Fair Outing

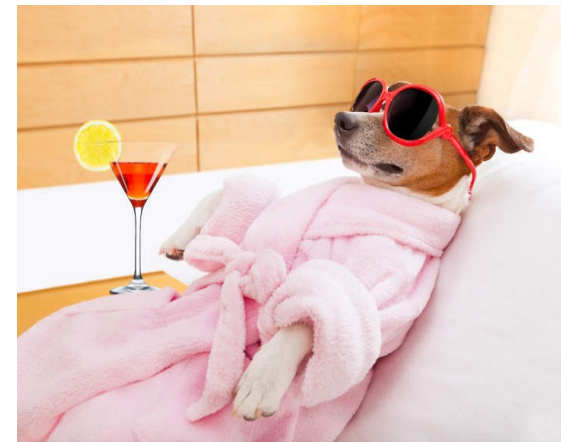
- \$20 entrance fee
- Pros: Inexpensive
- Cons: Crowded with long lines
- Pay to: Community Events



Option 2:

Day at the Spa

- \$125
- Pros: Relaxing and rejuvenating; self-care
- Cons: Expensive for one day
- Pay to: Dreamscape Spa



Wellness Options (Continued)

Option 3:

Adopt a dog

- \$400 adoption fee
- Pros: Provides unconditional love and companionship
- Cons: Ongoing cost for food and care
- Pay to: County Animal Shelter



Option 4:

New Gaming Station & Games

- \$460
- Pros: Provides at-home entertainment
- Cons: Initial cost is expensive
- Pay to: Super Electronics



Wellness Options (continued)

Option 5:

60' High Definition Television

- \$800
- Pros: Provides at-home entertainment
- Cons: Initial cost is quite expensive
- Pay to: E-Mart



Option 6:

One Week All-Inclusive Resort Vacation

- \$1600
- Pros: Very luxurious and relaxing vacation
- Cons: Very expensive
- Pay to: Serene Vacations



Make Your Purchases

Step 3: Write 3 checks – one for housing, one for transportation, and one for wellness.

A blank check form with the following fields and text:

- Top Left:** JOHN M. SMITH
4923 MAIN STREET
ANYTOWN, CO 81234
- Top Right:** 2008
- Center Right:** DATE _____
- Payable Field:** PAY TO THE ORDER OF _____ \$
- Bottom Left:**  **Main Street Credit Union**
8642 Main Street
Anytown, CO 81234
- Bottom Center:** MEMO _____
- Bottom Right:** DOLLARS 
- Bottom Edge:** 002003004101 1092320004 2008

Collect Coins

Step 4: How many points did you collect for each item?

Did you notice the correlation between your expense choices and the amount of points you were able to collect?



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Wrap-Up

1. Thank you all for your participation!
2. Are there any questions?
3. **Homework:**
 - a. Choose **one more** money saving idea and commit to it for the week. Keep track of which ideas are going well and which are not.
 - b. Continue using your budget for the next week and revise it if needed.
 - c. Research any fees charged at your bank or a bank you are interested in.

